Parkline Group
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Footscray Build-to-Rent Information Memorandum

A$96.0M senior secured construction facility with capitalised interest and lease-up period

Prepared for prospective senior lenders
Arranged by Orrin Wells Capital Advisory Pty Ltd
Version 1.0, 9 February 2026
Strictly private and confidential
Reference: PG-IM-FBTR-2026-01
Date: 9 February 2026

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Borrower	Parkline Developments Pty Ltd
ABN	51 912 551 762
Sponsor	Parkline Group Holdings Pty Ltd (trading as Parkline Group)
Registered address	Level 6, 52 Spencer Street, Melbourne VIC 3000
Project	214 apartment build-to-rent development, Footscray VIC
Facility requested	A$96.0M senior secured construction facility, 42 months
Date	9 February 2026
Prepared by	Parkline Group Holdings Pty Ltd
Arranger	Orrin Wells Capital Advisory Pty Ltd

Transaction details

Important notice

This Information Memorandum has been prepared by Parkline Group Holdings Pty Ltd (trading as Parkline Group) for the sole purpose of inviting indicative proposals from prospective senior lenders. It describes the Footscray build-to-rent project and the facility sought by Parkline Developments Pty Ltd. It is not an offer, a recommendation or a credit assessment.

The valuation, cost, rent and cash flow figures in this document are the sponsor's own estimates as at the date above. They have not been independently verified. Lenders should form their own view and are expected to commission an independent valuation, a quantity surveyor's review and legal and insurance due diligence before any commitment. Forecasts depend on assumptions that may not be realised. Pricing and terms are indicative only and subject to credit approval.

1. Executive summary

Parkline Developments Pty Ltd (the Borrower) is a single-purpose vehicle wholly owned by Parkline Group Holdings Pty Ltd (Parkline Group). It was established to develop and hold a 214 apartment build-to-rent project at Footscray, about five kilometres west of the Melbourne CBD and close to Footscray railway station. The project is a single tower on a podium, with 17,900 square metres of gross floor area, ground floor retail and basement parking. The apartments will be held as one rental asset under institutional management, with no apartment sales.

The Borrower seeks a A$96.0M senior secured construction facility with capitalised interest and a lease-up period. The term is 42 months, made up of a 24 month construction period and an 18 month lease-up period to stabilisation. The facility will fund construction costs, professional fees, statutory charges and capitalised interest. Parkline Group will contribute A$46.0M of equity, comprising the A$21.5M site (acquired in August 2023) and A$24.5M of cash. The cash equity will be injected before the first debt drawing.

On the sponsor's assessment, the project has a total development cost of A$142.0M and an as-if-complete value of A$166.0M. That implies a loan to value ratio of 57.8% and a loan to cost ratio of 67.6%. The project has a lump sum design and construct contract with Hadley Construct Pty Ltd for A$90.2M, and a planning permit has been in place since March 2025. Demolition of the existing industrial buildings was completed in January 2026.

Metric	Sponsor figure
Apartments	214
Gross floor area	17,900 sqm
Total development cost (TDC)	A$142.0M
As-if-complete value	A$166.0M
Facility limit	A$96.0M
Sponsor equity	A$46.0M (32.4% of TDC)
Loan to value ratio (LVR)	57.8%
Loan to cost ratio (LVC)	67.6%
Average stabilised rent	A$845 per week
Stabilised net operating income (NOI)	A$7.30M
Debt yield on A$96.0M	7.6%
Presales	None (build-to-rent, no sales)

Table 1: Project and facility summary (sponsor figures)

2. The facility request

The Borrower requests a senior secured construction facility on the following indicative terms.

Term	Proposal
Facility type	Senior secured construction, capitalised interest
Limit	A$96.0M
Tenor	42 months (24 construction, 18 lease-up)
Margin	3 month BBSW plus 4.75% p.a. on drawn amounts
Establishment fee	1.25% (A$1.20M)
Line fee	1.00% p.a. on undrawn commitments
Equity	A$46.0M, injected first
Repayment	Refinance with term facility, or sale of stabilised asset

Table 2: Indicative facility terms (subject to credit approval)

Interest and fees during construction and lease-up are capitalised to the facility and form part of the A$142.0M development budget. The sponsor intends to refinance the facility with a term investment facility after stabilisation, or to sell the stabilised asset. Either route is expected to repay the facility in full.

3. The project

3.1 Site and location

The site is in Footscray, about five kilometres west of the Melbourne CBD and close to Footscray railway station. It was previously occupied by industrial buildings, which were demolished by January 2026. The location provides direct rail access to the CBD and is within an established inner western precinct with retail, hospitality, education and employment nearby.

3.2 Design and mix

The planning permit issued in March 2025 allows a 214 apartment build-to-rent development. The scheme comprises one tower and a podium of 17,900 square metres gross floor area. It includes resident amenity space, ground floor retail and basement parking. The mix is weighted to one and two bedroom apartments, which the sponsor expects to suit the renter profile in the area.

Type	Units	Avg rent (A$ pw)
Studio	38	600
One bedroom	92	775
Two bedroom	70	980
Three bedroom	14	1,300
Total / weighted average	**214**	**845**

Table 3: Apartment mix and sponsor stabilised rents

3.3 Operating model

The apartments will be held in single ownership and managed by an institutional-grade operator. The proposed operator is Parkline Living Pty Ltd, a Parkline Group entity. The management agreement will be on arm's length terms and will be provided to lenders for review. The operator will be subject to step-in rights in favour of the lenders. Because there are no apartment sales, the project carries no settlement risk and has no dependence on presale levels.

4. Sponsor and Borrower

4.1 Parkline Group

Parkline Group was founded in Melbourne in 2009 as a mixed-use and residential developer. It is led by three directors who will be responsible for the project.

- Matthew Hargreaves, Director and Group Chief Executive Officer.
- Priya Coghlan, Director and Group Chief Financial Officer.
- Daniel Kostas, Director and Head of Development.

The most recent audited group accounts, audited by Lindqvist Hart Chartered Accountants, show group EBITDA of A$38.4M and net debt of A$212.0M, a net debt to EBITDA ratio of 5.5x. The sponsor acknowledges that this is a moderate to high level of leverage for a developer. It is the reason the project has been structured with a substantial equity contribution, a fixed-price construction contract and a ring-fenced borrower.

4.2 Borrower

Parkline Developments Pty Ltd was incorporated in May 2023 as the project vehicle for the Footscray site. It has no other business. The site was acquired in August 2023 for A$21.5M, funded from Parkline Group balance sheet cash, and is unencumbered. The Borrower will grant first ranking security over the site and all project assets.

Date	Milestone
March 2009	Parkline Group founded
May 2023	Parkline Developments Pty Ltd incorporated
August 2023	Site acquired for A$21.5M
March 2025	Planning permit issued
December 2025	Hadley Construct lump sum contract executed
January 2026	Demolition completed

Table 4: Project history

5. Market and leasing strategy

The sponsor considers build-to-rent a growing asset class in Melbourne, supported by institutional investor interest in long-term, professionally managed rental housing. Footscray combines rail access, an established retail and dining centre and relative affordability against the inner east and south. The sponsor expects new, amenity-rich product to attract tenants who are currently renting older stock in the inner west.

The sponsor has adopted an average stabilised rent of A$845 per week across the 214 apartments, based on its review of asking rents for comparable new apartments in the inner west and on the amenity premium it expects from institutional management. At that rent, the apartments generate A$9.41M a year at full occupancy. Retail, parking and other income adds A$0.20M, for stabilised revenue of A$9.6M. After operating costs of A$2.31M, stabilised NOI is A$7.30M.

Lease-up is assumed to take 18 months from practical completion. The sponsor plans to open leasing before practical completion and to offer limited introductory incentives. Because the project carries no presales, lease-up performance is the principal driver of the stabilised value. Lenders can assess this through the interest reserve and the cost-to-complete tests described in section 11.

6. Development budget and funding

The total development cost is A$142.0M. The largest item is the Hadley Construct lump sum design and construct contract of A$90.2M. The budget includes a contingency of A$4.5M, about 3.2% of total development cost.

Item	A$M	% of TDC
Land (sponsor contribution)	21.5	15.1%
Construction (Hadley lump sum)	90.2	63.5%
Contingency	4.5	3.2%
Professional fees	6.4	4.5%
Statutory charges and levies	3.2	2.3%
Leasing, marketing and operator set-up	2.2	1.5%
Finance costs (interest and fees)	14.0	9.9%
Total development cost	**142.0**	**100.0%**

Table 5: Development budget (sponsor)

Source	A$M	% of TDC
Sponsor land contribution	21.5	15.1%
Sponsor cash equity	24.5	17.3%
Senior construction facility	96.0	67.6%
Total sources	**142.0**	**100.0%**

Table 6: Sources of funds

Sponsor cash equity of A$24.5M will be injected before any debt is drawn. The sponsor expects the facility to be drawn progressively from the second half of the first year of construction, reaching its full limit near the end of the lease-up period as interest is capitalised.

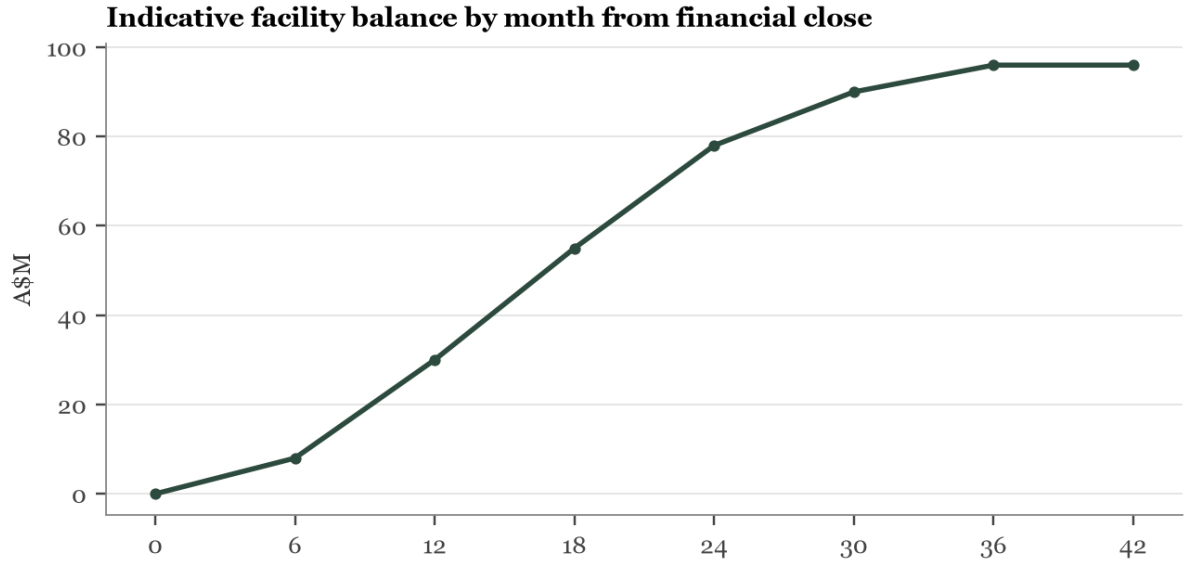


Figure 1: Sponsor's indicative drawn balance including capitalised interest. Facility limit A$96.0M.

7. Valuation and security

The sponsor values the completed and stabilised project at A$166.0M. This is derived by capitalising stabilised NOI of A$7.30M at 4.40%, which gives A$165.9M, rounded to A$166.0M. The sponsor considers the 4.40% rate consistent with yields for institutional-grade build-to-rent stock in well-located Melbourne precincts. The site contribution of A$21.5M reflects the August 2023 purchase price.

Lenders will commission their own independent valuation. The sponsor proposes that Calloway Ridge Valuers Pty Ltd act as valuer, subject to lender approval. The table below shows how the loan to value ratio moves with the capitalisation rate, using sponsor NOI.

Cap rate	Value (A$M)	LVR on A$96.0M
4.40% (sponsor)	166.0	57.8%
4.60%	158.7	60.5%
4.80%	152.1	63.1%
5.00%	146.0	65.8%

Table 7: Capitalisation rate sensitivity (NOI A$7.30M)

The proposed security package comprises:

- First registered mortgage over the Footscray site and all improvements.
- General security agreement over all present and after-acquired assets of the Borrower.

- Assignment of the Hadley Construct building contract, consultant appointments, warranties and the management agreement.
- Builder security, with bank guarantees proposed at 10% of the contract sum.
- Sponsor completion and cost overrun support from Parkline Group Holdings Pty Ltd, on terms to be agreed.
- Mortgage or fixed charge over the Borrower's shares, and step-in rights over the operator.

8. Financial projections

At stabilisation the sponsor forecasts revenue of A$9.6M, NOI of A$7.30M and a debt yield of 7.6% on the full A$96.0M. The debt is sized to the A$142.0M budget, with the loan to cost ratio at 67.6% and sponsor equity at 32.4%.

Stabilised year	A$M
Residential rent (214 units at A$845 pw)	9.41
Retail, parking and other income	0.20
Gross revenue	9.61
Operating expenses	(2.31)
Net operating income	**7.30**

Table 8: Stabilised income (sponsor forecast)

The facility is not designed to be serviced from NOI at full drawing. Interest during construction and lease-up is capitalised. As an illustration, if 3 month BBSW were 3.70%, the all-in rate would be 8.45% and annual interest on A$96.0M would be about A$8.1M, which is above stabilised NOI of A$7.30M (an interest cover of about 0.90x). Repayment therefore depends on refinance with a term investment facility, which would be sized at a lower leverage, or on sale of the stabilised asset. At a 4.40% capitalisation rate, a sale would realise about A$166.0M against debt of A$96.0M.

9. Construction and delivery

Hadley Construct Pty Ltd is engaged under a lump sum design and construct contract of A$90.2M, executed in December 2025. Demolition of the existing buildings was completed in January 2026. The sponsor plans construction over 24 months, followed by commissioning, handover and an 18 month lease-up. The development manager is Daniel Kostas, Head of Development, who will report to lenders monthly.

The sponsor proposes that lenders appoint Brennan Tate Quantity Surveyors Pty Ltd as independent quantity surveyor, subject to lender approval. The quantity surveyor would review the budget and contract before financial close, certify each progress claim and report on cost to complete, programme and contingency. Halden Rowe Lawyers is the proposed lender counsel.

10. Key risks and mitigants

The sponsor has identified the following principal risks. Lenders should consider these together with their own due diligence.

Risk	Mitigant
Construction cost and thin contingency (A$4.5M, 3.2% of TDC)	Lump sum contract, QS review, sponsor overrun support
Valuation and exit yield	Lender valuation, sensitivity testing, sponsor equity of 32.4%
Lease-up with no presales	Pre-completion leasing, interest capitalisation, operator step-in
Interest not covered by NOI at full drawing	Capitalised interest, refinance or sale, debt yield test
Sponsor leverage of 5.5x net debt to EBITDA	Ring-fenced borrower, equity first, completion support
Builder concentration	10% bank guarantees, builder financial review, step-in rights

Table 9: Risk summary

10.1 Construction cost

The contract is lump sum, but provisional sums and design development items remain, and contingency is modest at 3.2% of total development cost. The sponsor will fund overruns that exceed contingency. Lenders will be able to test the budget through their own quantity surveyor before financial close.

10.2 Valuation, exit and lease-up

The stabilised value depends on both achieved rent and the capitalisation rate. Table 7 shows that the loan to value ratio would remain at 65.8% even if the rate softened to 5.00%. With no presale protection, the sponsor's rent of A$845 per week and the 18 month lease-up period are assumptions that lenders should test against market evidence, including the volume of new rental supply in the inner west.

10.3 Interest cover and refinance

Stabilised NOI does not cover interest on a fully drawn A$96.0M at indicative pricing. Repayment relies on refinance or sale. The sponsor proposes a debt yield test at stabilisation and an interest rate hedging requirement so that lenders can monitor this exposure.

10.4 Sponsor and builder

Group net debt to EBITDA of 5.5x limits the sponsor's capacity to support the project from outside, which is why equity is injected first. Hadley Construct is engaged on a single fixed-price contract. Delay or insolvency of the builder would affect cost and programme, so the builder security package and balance sheet should form part of lender due diligence.

11. Proposed covenants

- Equity first: A$46.0M of equity, including A$24.5M cash, to be fully injected before the first drawing.
- Cost to complete: facility drawings only where undrawn funds and remaining equity cover forecast cost to complete, as certified by the lender's quantity surveyor.
- Maximum LVR of 65% on the as-if-complete value, and maximum LVC of 68%.
- Debt yield of at least 7.0% at the stabilisation test date.
- Interest rate hedging of at least 75% of forecast peak drawn debt.
- Monthly reporting on construction progress, cost, leasing and cash, with quarterly sponsor compliance certificates.
- No distributions to Parkline Group until the facility is repaid or refinanced, other than those permitted under the facility.
- Minimum leasing and rent reporting during lease-up, with a lender consultation trigger if occupancy is more than 15% behind plan.

12. Conditions precedent

- Satisfactory independent valuation, quantity surveyor's report, insurance review and legal due diligence.
- Executed facility and security documents, including sponsor support and builder security.
- Evidence of A$21.5M site title and A$24.5M cash equity funded.
- Executed building contract, consultant deeds, planning permit and operator agreement in a form acceptable to lenders.
- Construction and public liability insurances noting the lenders' interest.
- Satisfactory audited sponsor financials and know-your-customer checks.

13. Process and contacts

Indicative proposals are invited from prospective lenders. Parkline Group will make management available, including a site inspection, and will provide further information on request. Enquiries should be directed to Orrin Wells Capital Advisory Pty Ltd, quoting reference PG-IM-FBTR-2026-01. The sponsor may amend the process or terms at any time and is not bound to accept any proposal.

Prepared by Parkline Group Holdings Pty Ltd (trading as Parkline Group), Level 6, 52 Spencer Street, Melbourne VIC 3000, on behalf of Parkline Developments Pty Ltd (ABN 51 912 551 762).